

[the plant]? How do you plan for that? How do you set up the entire ecosystem to be able to create that manufacturing capability and be competitive, and be able to deliver the value and the quality? How do you get from there to the markets you need to serve? So, you are looking at the entire value chain and planning or repurposing. It is a huge strategic exercise. It needs to be thought through. It cannot be done overnight.

I think what India is doing [is that it is] at least positioning itself right in the global economy. We are offering our ecosystem to set up capabilities, or manufacturing plants, or supply chains in India. I think the government's 'Make in India' [initiative] is designed to create that environment so that global companies, when they start thinking about the supply chain, look at India as a very good alternative. And the way to make it really compelling for these organisations is to think long-term. Because when you are investing at that scale, you are thinking about 10-15-20 years from now, when the plant should really deliver you that value. We might not have seen immediate announcements, but work might be happening in the background. It will take a few years for you to see those investments hit the ground. I'm sure India is being considered by multiple organisations as an alternative for their supply chain. You should see things playing out in the years to come.

Q: CRISIL also has global linkages in terms of supporting global corporations. Can you elaborate on the business part?

A: Sixty-five per cent of our revenues comes from global clients, which means two-thirds of our revenues come from global clients, global banks, global institutions, global investment firms, and also a few corporates. The work that we do supports them with their research, risk, regulatory requirements, data and analytics. We have a firm that is doing benchmarking for investment banks, helping them understand their competitive positions where they are on the investment banking side, in the league tables. We have acquired a company called Greenwich [Associates], which does voice-of-customer surveys, which allows you to get qualitative inputs on how things are playing out... We have a host of offerings on the global side.

And if you look at global trends, [a] big one is sustainability. Everybody's talking about ESG [environmental, social, and governance]. That augurs well for us, which means they want our help in getting data on ESG. They want help on getting research on ESG. They want support on looking at how to build models for climate risk evaluation; how to build models for lending money while factoring in ESG parameters. So, all

of that is something that helps us drive demand on the global institution side, under the sustainability lens.

The next big trend is on the risk and regulatory side. If you look at the large global banks, the amount of money they are spending on regulatory requirements and risk compliance, I think that's a huge demand driver for us, which means we can support them in meeting the regulatory requirements. We can help them meet the risk requirements. They are looking at transforming processes to meet the risk requirements and compliances. We are partnering with them to meet those requirements, whether it's on the data side, whether it's on the research side, whether it's on the analytics side, or whether it's on the process transformation side. I think there's a huge opportunity.

“The deleveraging of balance sheets has improved... Companies can set themselves up for better credit growth and drive investments... Large firms can take advantage of the economy opening up”

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The third trend is digitisation. Today, every large bank is looking at digitising internal processes or their customer-facing applications. And that again means an opportunity for us because of the domain knowledge that we have come up with. We are a key enabler for banks on their automation agenda, on the transformation agenda, and we partner with them on the risk and regulatory and research requirements.

Q: You have morphed into a consulting firm from a ratings firm. Do you think that's becoming a major business opportunity?

A: We are still the premier rating agency in India. We call ourselves a global analytics company because the DNA of the organisation is analytics. We are rooted in analytics, whether we are doing ratings, benchmarking with big research, or supporting global clients on their research, data or analytics requirements. I think as an organisation, we pride ourselves in calling ourselves a global analytical organisation. And I think we underpin whatever we are doing with data, research, and analytics. That is our core. **BT**

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